

PocketCA Reference Manual: Principles & Practice of Accounting

A Comprehensive Handbook on Financial Accounting, Ind AS, and Corporate Reporting under Companies Act 2013.

1. Fundamental Accounting Assumptions & Golden Rules

Accounting rests upon three fundamental accounting assumptions recognized under AS-1: Going Concern, Consistency, and Accrual basis.

The Golden Rules of Accounting:

- **Personal Accounts:** Debit the receiver, Credit the giver (e.g., Debtors, Creditors, Capital, Drawings, Outstanding Expenses).
- **Real Accounts:** Debit what comes in, Credit what goes out (e.g., Cash, Bank, Furniture, Machinery, Inventory).
- **Nominal Accounts:** Debit all expenses and losses, Credit all incomes and gains (e.g., Salary, Rent, Interest Paid, Sales, Discount Received).

2. Double Entry Bookkeeping & Journal Entries

Every business transaction has a dual aspect affecting at least two accounts in equal and opposite amounts. Transactions are recorded chronologically in the Journal before posting to Ledgers.

Date / Event	Account Details	L.F.	Debit (INR)	Credit (INR)
Business Started	Bank A/c ... Dr To Capital A/c (Capital introduced by proprietor)	1	5,00,000	5,00,000
Purchase Goods on Credit	Purchases A/c ... Dr Input CGST A/c ... Dr Input SGST A/c ... Dr To M/s ABC Suppliers (Goods bought with 18% GST)	2	1,00,000 9,000 9,000	1,18,000
Sale of Goods	M/s XYZ Traders ... Dr To Sales A/c To Output IGST A/c (Interstate credit sale at 18%)	3	2,36,000	2,00,000 36,000
Depreciation Charged	Depreciation A/c ... Dr To Machinery A/c (Annual depreciation written off)	4	25,000	25,000

3. Trial Balance & Rectification of Errors

A Trial Balance is a statement prepared with debit and credit balances of ledger accounts to verify arithmetical accuracy. Errors are classified into:

- **Errors of Principle:** Violating fundamental accounting concepts, such as treating capital expenditure as revenue expenditure (e.g., debiting Repairs A/c for machinery installation).

- **Errors of Omission:** Complete omission (does not affect trial balance) or partial omission (causes trial balance mismatch).
- **Errors of Commission:** Wrong amount entered, wrong side posting, or wrong casting/balancing.
- **Compensating Errors:** When errors on one side neutralize errors on the opposite side.
- **Suspense Account:** An interim account opened to temporarily balance the trial balance when the difference cannot be located immediately before closing books.

4. Financial Statements (Schedule III, Companies Act 2013)

Under the Companies Act 2013, corporate financial statements must follow Schedule III Division I (for AS) or Division II (for Ind AS) in vertical format.

Balance Sheet Structure:

- **Part I: Equity & Liabilities:** (1) Shareholders' Funds (Share Capital, Reserves & Surplus), (2) Non-Current Liabilities (Long-term borrowings, Deferred tax liabilities, Long-term provisions), (3) Current Liabilities (Short-term borrowings, Trade payables, Other current liabilities, Short-term provisions).
- **Part II: Assets:** (1) Non-Current Assets (Property Plant & Equipment, Intangible Assets, Capital Work-in-Progress, Non-current investments, Long-term loans & advances), (2) Current Assets (Current investments, Inventories, Trade receivables, Cash & cash equivalents, Short-term loans & advances).

Statement of Profit and Loss: Revenue from operations plus Other Income minus Expenses (Cost of materials consumed, Purchases of stock-in-trade, Employee benefits expense, Finance costs, Depreciation & amortization, Other expenses) equals Profit Before Tax (PBT). Subtract Tax expense (Current tax + Deferred tax) to arrive at Profit After Tax (PAT).

5. Depreciation Accounting (SLM vs WDV)

Depreciation is the systematic allocation of the depreciable amount of an asset over its useful life.

- **Straight Line Method (SLM):** Equal amount of depreciation charged each year. Formula: $\text{Annual Depreciation} = (\text{Cost} - \text{Salvage Value}) / \text{Useful Life}$.
- **Written Down Value (WDV):** Depreciation charged at a fixed percentage on the opening book value each year. Under the Indian Income Tax Act 1961 (Section 32), depreciation on block of assets MUST be computed under WDV method (except for power generating units).
- Key Income Tax WDV Rates: Plant & Machinery: 15%, Computers & Software: 40%, Furniture & Fixtures: 10%, Commercial Vehicles: 30%, Buildings (Residential): 5%, Buildings (Commercial/Factory): 10%.

6. Bank Reconciliation Statement (BRS) & Accruals

BRS reconciles the difference between the balance shown in the Cash Book (Bank column) and the Bank Statement / Pass Book.

- Cheques issued but not yet presented for payment: Add to Cash Book balance.
- Cheques deposited but not yet cleared/credited: Deduct from Cash Book balance.
- Direct bank credits (dividends, customer transfers): Add to Cash Book balance.
- Bank charges and auto-debits (ECS/NACH): Deduct from Cash Book balance.
- Accrual adjustments at year-end ensure matching principle compliance: Outstanding expenses are added to respective expense and credited as current liability; Prepaid expenses are deducted from expense and shown as current asset.